fraudulent promoters, I felt the investigative agencies should proceed against them separately, but their projects and workers should not be punished for promoter malfeasance.

Let me explain the problem of mindsets with an example. I remember early in my term a plane ride in which an articulate and competent public sector bank CEO happened to sit next to me. As we discussed the banking system, he described one notorious but prominent promoter who had been playing off one bank against another in an attempt to keep his failing enterprise afloat. The banker told me that the promoter had promised him repayment out of funds that were arriving but had diverted the funds to another enterprise. When he got to know of this, the banker told me that he was angrier than he had ever been before in his professional life. 'What did you do?' I asked the banker. 'I cut his credit line by 20 per cent,' came the answer. I did not know whether to laugh or cry.

In most countries with a strong financial system, broken promises by an incompetent borrower would be met with a complete cut-off of credit, and the initiation of recovery measures. In India, the worst this angry banker was willing to do was to cut future lending by a measly 20 per cent! Many promoters came from rich storied families, were well-connected and dominated the society pages. To ask the banker to get tough with the promoter was to ask him to take on an icon of society. Some bankers could do this with ease, many could not.

But there were two other impediments in taking action to restructure distressed projects to put them back on track. First, despite having some of the most draconian laws on the books in any country on recovering secured debt, these laws were effective only against small promoters, not against wealthy promoters who could hire the best lawyers to play the judicial system to stymie the recovery process. Second, bankers were always fearful of the investigative agencies, who could question a purely commercial decision where debt was written down, and thus ruin the banker's hope of a quiet and honourable retirement. This made bankers very reluctant to agree to the deep significant restructuring that was needed to set projects back on track – why take the risk when retirement was only six months away.

What this meant was a collective reluctance to recognize the problem – indeed, when I took over, we were only starting to implement a system to measure the aggregate exposure of the banking system to specific promoters and the status of those loans. Effectively, this meant a strong desire on the part of both bankers and promoters to repeatedly push the bad loan problem into the future, which meant the problem had already grown to a significant size. This was something we needed to change. The first step was to give bankers more instruments to deal with distress. The second was to stop the